

How to Start a Startup in Germany

A step-by-step guide with official links, legal-form comparison, and funding resources

Starting a startup in Germany means validating your idea, writing a business plan, choosing the right legal form, registering with the authorities, and keeping your business finances separate from your personal ones from day one. Unlike a small local business, a startup is generally built for fast, scalable growth and often relies on outside capital (investors, grants, or loans).

1. Step-by-Step Founding Process

- 1. Validate your idea & write a business plan** Test your idea with real customers before writing anything formal. A business plan is required for visa applications, bank onboarding, and most funding programs.
- 2. Choose your legal form** Sole proprietorship, GbR, UG (haftungsbeschränkt), or GmbH see the comparison table in Section 2. Your choice affects liability, capital requirements, and taxation.
- 3. Check & reserve your company name** Verify availability with your local IHK (Chamber of Commerce) and the Handelsregister (Commercial Register). [IHK company name check](#)
- 4. Draft the articles of association (Gesellschaftsvertrag)** Required for UG/GmbH can use the simplified statutory template (Musterprotokoll) for simple, single-founder set-ups to reduce notary costs.
- 5. Book a notary appointment** Notarization is mandatory for UG/GmbH formation in Germany sole proprietorships and Freiberufler activities do not need one.
- 6. Open a business bank account & deposit share capital** UG requires as little as €1; GmbH requires €25,000 (at least half paid in at formation). Popular digital business banks: N26 Business, Qonto, Kontist.
- 7. Register with the Commercial Register (Handelsregister)** The notary submits your formation documents; processing typically takes 1–4 weeks. You'll receive a register extract as official proof of your company's existence.
- 8. Register for tax (Finanzamt) & trade office (Gewerbeamt)** UG/GmbH and Gewerbe activities must register at the local trade office; all businesses complete the tax registration questionnaire (Fragebogen zur steuerlichen Erfassung) with the tax office via [ELSTER](#).
- 9. Sort out visa & residence status (if applicable)** Non-EU founders generally need a self-employment/founder residence permit. See official guidance at [Make it in Germany Self-Employment](#).
- 10. Apply for funding & support programs** Explore public grants, accelerators, and loans before or shortly after formation see Section 3.

Estimated cost: a plain trade registration (Gewerbeanmeldung) runs €15–65; a UG/GmbH with notary and commercial register entry typically totals €300–800.

2. Legal Form Comparison

Legal Form	Min. Capital	Liability	Best For
Sole proprietorship (Einzelunternehmen)	None	Unlimited, personal	Solo founders starting fast, low bureaucracy

GbR (civil law partnership)	None	Unlimited, joint & personal	Two or more founders testing an idea together
UG (haftungsbeschränkt) "mini-GmbH"	From €1	Limited to company assets	Startups with little starting capital
GmbH	€25,000	Limited to company assets	Growth-stage companies, raising investment

Note: UGs must retain 25% of annual profit as legal reserves until reaching €25,000 in capital, at which point they can convert to a full GmbH.

3. Funding, Support Programs & Official Resources

Resource	What it offers
KfW Bank Founder Loans	State-backed loans for founders (KfW-Gründerkredit)
EXIST Business Start-up Grant	Federal grant for university-affiliated founders (BMWK program)
Handelsregister (Commercial Register)	Official company registration lookup & filing portal
ELSTER (Tax Office Portal)	Official portal for tax registration and filings
Gründerplattform (KfW)	Free official platform for business plans, funding search & guidance
Startup City Hamburg	Hamburg's official founder platform funding, coworking, mentoring
Bundesagentur für Arbeit Gründungszuschuss	Start-up grant for founders coming out of unemployment

This guide is for general orientation only and is not legal or tax advice. Requirements, capital thresholds, and program details change always confirm current figures on the official sites linked above, or consult a Steuerberater (tax advisor) / notary before founding.